

Response to Referee R2

We thank the editor and referees for their continued engagement with our paper. Below we provide a brief summary of the main changes in this revision and then respond to each comment in turn.

- **Stock-return analysis.** [To be written — addresses R2’s main comment.]
- **Robustness with full set of fixed effects.** [To be written — addresses R6’s main comment on industry×year fixed effects.]
- **Limitations of the exposure measure.** [To be written — addresses R6’s comment on preferred shares.]
- **Pre-trends and event-time patterns.** [To be written — addresses R6’s comment on Figure 3.]
- **Liberty bond discussion.** We have revised the historical background section to clarify why Liberty Bond prices rose during the Supreme Court arguments in January 1935. Since Liberty Bonds were gold-denominated government obligations, a government loss would have obligated the Treasury to honor gold payments at the then-prevailing price of \$35 per ounce—69% above the pre-abrogation level—increasing the real value of the bonds to holders. We have also added the missing *New York Times* citation.

That said, I think there is one larger issue outstanding. The authors reference the portfolio returns (stock market responses) to various legal developments in section 3 (page 10). This analysis is insightful but not well-explained. In my opinion, the return analysis deserves a table and more detail on the data and summary statistics, some of which can be provided in the appendix. A figure might help too. Consider time series of (cumulative) returns for a) the market, b) firms with gold exposure (unweighted), firms with gold exposure (Weighted as indicated in footnote 10) and d) firms without gold exposure. Such a figure with “event lines” (joint resolution, first lawsuits, potentially lower court rulings, start of Supreme Court arguments (poor government showing), Supreme Court decision) would visualize the argument of the authors. I could also see the return analysis in a regression framework. The point here is that illustrate that market clearly responded to relevant events around the abrogation supporting the key identification argument of the authors.

Thank you for this suggestion. We have added a table (Table 1) and three event study figures (Figures 3–5) to the paper.

Main evidence. The central result is Event 1: the Joint Resolution (May 26–June 6, 1933). The gold-exposure-weighted portfolio gained +31.2% over this nine-day window against a market gain of +12.0%, yielding a CAPM cumulative abnormal return of +16.1%. This is precisely the pattern the identification argument predicts: because the abrogation reduced the real debt burden of firms with gold-clause exposure, those firms should gain more than the market upon the resolution’s passage. The +16.1% CAR isolates this differential effect by stripping out the market-wide component through a pre-abrogation beta of 0.92. Events 2 and 3 produce CARs of -0.7% and $+0.9\%$, respectively—in the right direction but modest in magnitude, and not on their own compelling. The main identification evidence rests on Event 1, corroborated by the formal regression analysis in Section 5. Table 1 reports the full results; Panel B provides summary statistics for the daily return series over the full sample.

Figures. The three event study figures plot the cumulative returns for the market and the gold-exposure-weighted portfolio over a window surrounding each event, normalized to zero at the close of the last trading day before the event begins. We show these two series because the gap between

the market-wide and gold-weighted returns is the quantity directly relevant to our identification argument. Following the referee’s suggestion of a single time series with event lines, we have also added Figure IA.2 in the Internet Appendix, which plots the cumulative returns of both series across the entire litigation period (March 1933–April 1935) with all key dates marked: the gold standard suspension, the Joint Resolution, the Supreme Court oral arguments, and the decision. Regarding the first lawsuits and lower court rulings suggested by the referee: the first lawsuits were filed in May 1933, concurrent with the Joint Resolution, and we are not aware of lower court rulings over this period that produced discernible market reactions.

On the oral arguments event. The -0.7% three-day CAR understates the full impact visible in Figure 4. Over the six trading days immediately following the arguments (January 11–17), the gold-weighted portfolio declined a further 4.6% against a market decline of 3.0% , as news of the government’s poor showing continued to filter through press coverage. By January 13, the *New York Times* reported Liberty Bond prices at their highest level since 1917 (NYT, 1935), reflecting investor expectations that the government would lose the case. Taken together, the cumulative decline from January 7 through January 17 was 5.1% for the gold-weighted portfolio and 3.9% for the market.

On the regression framework. The regression-based identification evidence is developed formally in Section 5. The CARs in Table 1 complement that analysis by providing event-specific estimates of the gold-weighted portfolio’s return in excess of its CAPM benchmark, estimated over the full pre-abrogation period.

One small point on last sentence page 12/top page 13. I don’t think that the Liberty bond prices reflect a flight to safety. Indeed, Liberty bonds were very much part of debate since they were to be paid in gold and in the end were not due to the US leaving the gold standard (which is why some argue that this constitutes sovereign default). If anything, the high prices of Liberty bonds indicated that observations thought it likely that the government could lose the case. Either the authors provide a better explanation for the Liberty bond behavior, which is currently stated without the appropriate context or they delete the sentence. Also, the citation to the NYTimes article is

missing.

Thank you for this comment. We have revised the passage to provide the appropriate context for the Liberty Bond price increase. Liberty Bonds were themselves gold-denominated government obligations, promising payment in gold at par. A government loss in the gold clause cases would have obligated the Treasury to honor that promise at the then-prevailing price of \$35 per ounce—69% above the pre-abrogation level—increasing the real value of the bonds to holders. Their rising prices in January 1935 therefore reflected investor expectations that the government could lose the case. The historical background section now reads:

“On January 13, the *New York Times* reported that, amid ‘the speculative fever for gold,’ Liberty Bond prices reached their highest level since 1917 (NYT, 1935). Since Liberty Bonds were themselves gold-denominated government obligations, their rising prices reflected investor expectations that the government could lose the case and be forced to honor full gold payments. During the three days of oral arguments (January 8–10), the government’s weak showing fueled market anxiety, with the market falling 1.2% and our gold-exposure-weighted portfolio declining 1.5%.”

We have also added the missing citation: *New York Times*, “Gold Issue Hits Highest since 1917,” January 13, 1935, p. 2.

REFERENCES

, 1935, Gold issue hits highest since 1917, *New York Times* 2.